ISFT
INTERNATIONAL SCHOOL OF FINANCIAL TRAINING

OCN London BESPOKE

BESPOKE QUALIFICATION

ISFT Award in Introduction to Futures Trading

Price it, margin it, hedge it, trade it.

4	8	Level 3	Online
UNITS	CREDITS	AWARD	SELF-PACED

www.derivion.in

Centre: Derivion International Private Limited (trading as ISFT) · Course code 1131236

WHY THIS QUALIFICATION

The layer between analysis and execution.

Understanding a market is one thing. Pricing, margining and hedging a position inside it is another — this qualification builds the second half.

Practitioner-designed

Authored by the centre's Head Educator, a practitioner with direct experience trading futures on LIFFE, CBOT and CME across more than four decades.

Mechanics first

Contract specification, pricing and margin before strategy — so every later decision rests on solid ground.

Standardised and accredited

Delivered under OCN London (course code 1131236), with a defined credit value, level and external quality assurance.

Applied, not just informational

Learners construct a real hedge, calculate its margin requirement, and justify the decision in writing.

WHO IT IS FOR

Built for the step after the basics.

For learners with foundational market knowledge who want a specialised, practical understanding of futures trading — for both risk management and speculative purposes.

Level 2 completers

Ready to specialise into a single, powerful instrument.

Risk-aware learners

Comfortable with bid/offer spreads, margin and leverage.

Speculative and hedging traders

Want futures for protecting a position, or trading one.

Recommended prior learning

The Level 2 Award in Introduction to Financial Trading, or equivalent. There is no formal barrier to entry.

HELPFUL TO KNOW ALREADY

- Bid / offer spreads
- Margin
- Leverage

A device with internet access to reach the Learning Management System.

WHAT YOU WILL GAIN

Four moves, in order.

Each builds on the one before it — from what a contract is, to defending a position with one.



Read a futures contract

UNIT 1

Specification, standardisation, and how it differs from a forward or an option.

Price it and margin it

UNIT 2

Spot-futures relationship, basis, and initial vs maintenance margin.

Hedge an exposure

UNIT 3

Match a futures contract to a real underlying exposure, and size the risk.

Trade and justify a strategy

UNIT 4

Trend-following and spread strategies, applied to a written scenario.

PROGRAMME AT A GLANCE

The numbers behind the programme.

A focused, practitioner-led qualification: 4 units, 8 credits, delivered fully online at Level 3.

4	8	3	6–10
UNITS	CREDITS	LEVEL	WEEKS TYPICAL

THE FOUR UNITS, IN SEQUENCE

1. **Contracts**
2. **Pricing & margin**
3. **Hedging & risk**
4. **Applied strategy**

QUALIFICATION	ISFT Award in Introduction to Futures Trading
OCN LONDON COURSE CODE	1131236
CENTRE	Derivion International Private Limited (trading as ISFT), Centre ID 160472
DELIVERY	Online, self-paced · 6–10 weeks typical
ACCREDITATION / REVIEW	Accredited 13/08/2026 · Reviewed 13/08/2027

HOW YOU LEARN

Learn online, at your own pace.

Delivered fully online and self-paced through Derivion Academy. There is no fixed timetable: learners typically finish within 6 to 10 weeks.

1

Study

Video instruction and written materials.

2

Practise

Worked pricing and margin examples.

3

Assess

An online MCQ for each unit.

4

Apply

A written hedge and strategy report, assessed by the Head Educator.

WHAT YOU NEED

- Computer, laptop, tablet or smartphone
- An internet connection to the LMS
- Comfort with spreads, margin and leverage

YOUR LEARNING JOURNEY

Four units, one connected skill.

1

EB1/3/LR/020

Introduction to Futures and Derivatives

The building block — what a standardised futures contract is, and how the market around it functions.

2

EB1/3/LR/021

Futures Pricing, Margin and Basis

The mechanics — how a futures price relates to spot, and what keeps a position open.

3

EB1/3/LR/022

Hedging and Risk Management with Futures

The protection — matching a contract to a real exposure, and understanding leveraged risk.

4

EB1/3/LR/023

Applied Futures Trading Strategies

The application — speculative strategies, then a real hedge, sized and justified.

UNIT 1 · EB1/3/LR/020

Introduction to Futures and Derivatives

What a standardised futures contract is, how it differs from a forward or an option, and who makes the market work.

2 credits

Level 3

Basic features of futures contracts

- Explain the key features of a standardised futures contract
- Describe how futures contracts differ from forward contracts and options

Futures exchanges and clearing houses

- Explain the roles of a futures exchange and clearing house
- Describe the concept of contract standardisation and its benefits

INDICATIVE CONTENT

Futures contract specification

Futures vs forwards vs options

Exchange and clearing house function

Contract standardisation

UNIT 2 · EB1/3/LR/021

Futures Pricing, Margin and Basis

How a futures price relates to the spot price, why basis changes over time, and what keeps a leveraged position open.

2 credits

Level 3

How futures contracts are priced

- Explain the relationship between spot price and futures price
- Define the concept of basis and explain why it changes over time

Margin requirements

- Explain the difference between initial margin and maintenance margin
- Calculate a simple margin call scenario given basic price movement data

INDICATIVE CONTENT

Spot-futures relationship

Basis and convergence

Initial and maintenance margin

Margin call mechanics

UNIT 3 · EB1/3/LR/022

Hedging and Risk Management with Futures

How a futures contract protects an existing exposure, and the risks — leverage above all — that come with trading one.

2 credits

Level 3

Futures contracts used for hedging

- Explain the principle of hedging an existing exposure using a futures contract
- Identify an appropriate futures hedge for a given underlying exposure

Risks of futures trading

- Explain the concept of leverage risk in futures trading
- Identify the main risk management tools available to a futures trader

INDICATIVE CONTENT

Hedging principles and worked examples

Leverage and amplified risk

Stop-losses and position sizing

UNIT 4 · EB1/3/LR/023

Applied Futures Trading Strategies

Common speculative strategies, then bringing pricing, margin and hedging knowledge together in a real trading decision.

2 credits

Level 3

Speculative strategies

- Describe a trend-following strategy applied to a futures market
- Describe a spread trading strategy involving two related futures contracts

Applying futures trading concepts

- Construct a hedge for a given underlying exposure and calculate the associated initial margin requirement
- Justify the futures trading and hedging decision using appropriate market reasoning, evaluated against sound risk management principles

INDICATIVE CONTENT

Trend-following in futures

Spread trading

Applied scenario evaluation

Integrating pricing, margin and hedging

UNIT 4 · APPLIED TASK

Build the hedge. Then defend it.

Unit 4 ends with a written scenario: construct a hedge for a given exposure, calculate its margin, and justify the decision.

1

Construct the hedge

Match a futures contract to the given underlying exposure.

2

Calculate the margin

Work out the associated initial margin requirement.

3

Justify the decision

Using market reasoning and sound risk management principles.

800–1,200

words, written applied futures scenario report

Assessed by the Head Educator against a published marking brief.

ASSESSMENT

How you're assessed.

Each unit closes with an online MCQ, auto-marked on the LMS. Unit 4 adds a written applied futures scenario report.

EB1/3/LR/020	**Introduction to Futures and Derivatives**	MCQ
EB1/3/LR/021	**Futures Pricing, Margin and Basis**	MCQ
EB1/3/LR/022	**Hedging and Risk Management with Futures**	MCQ
EB1/3/LR/023	**Applied Futures Trading Strategies**	MCQ + report

25 questions · 50 minutes · 70% pass mark on every MCQ · scenario report is 800–1,200 words

MCQ: recognition level

Where criteria say explain or describe, you select the correct answer from plausible alternatives.

Report: application

Criteria that ask you to construct, calculate, apply or justify are assessed through the Unit 4 written report.

QUALITY AND STANDARDS

Standards you can rely on.

Assessment is quality-assured at every stage, and the qualification is reviewed every year.

1

Set

Activities are set internally by tutor/assessors.

2

Moderated

Internally moderated at the centre, unless computer-assessed.

3

Externally verified

An OCN London External Quality Assurer moderates externally.

4

Reviewed every year

By the Head Educator, informed by learner feedback, IQA review and OCN London feedback.

Learners may progress to the Introduction to Risk Management Award, Introduction to Technical Analysis Certificate, or Introduction to Trading Government Bonds Award.

WHERE THIS LEADS

Your next specialisation.

On completion, learners may progress to the Introduction to Risk Management Award, Introduction to Technical Analysis Certificate, or Introduction to Trading Government Bonds Award.

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